May 4 – 8, 2026

US Bond Market Weekly Update

10yr Treasury	2yr Treasury	IG OAS	HY OAS
4.41%	3.92%	79 bps	279 bps
▲ 2 bps MTD	▲ 4 bps MTD	▼ 2 bps MTD	▲ 2 bps MTD

WORD ON THE DESK

Fixed income markets navigated a cautious week as persistent energy-driven inflation pressures reasserted themselves, challenging the soft-landing consensus and forcing a recalibration of rate cut expectations. Treasury yields edged higher across the curve, with the belly and long end bearing the brunt of the move, while credit markets exhibited a modest bifurcation — investment grade tightened modestly on the month while high yield gave back ground as risk appetite wobbled. Against a backdrop of elevated oil prices near multi-year highs, the path for Fed easing appears narrower, and duration remains a contested position. Portfolios with a bias toward shorter maturities and quality credit are better insulated in this environment, while investors in spread product should monitor whether the recent high-yield weakness proves transient or signals a broader reassessment of risk premium adequacy.

MARKET COMMENTARY

01 The dominant macro development of the week was the resumption of climbing oil prices, which remained near four-year highs and materially altered the near-term inflation narrative. Rising energy costs reintroduced upside risk to CPI trajectory, prompting traders to abandon previously embedded rate cut forecasts and applying upward pressure across the Treasury complex. The repricing was broad-based, with oil functioning as a de facto hawkish policy tightener by squeezing real consumer purchasing power and complicating the Fed's path toward its 2% inflation target. This dynamic warrants close attention in the weeks ahead as June CPI data will be pivotal in determining whether pass-through effects are materializing.

→ Energy's renewed bid arrives at a sensitive moment — any sustained move higher in oil will make it increasingly difficult for the Fed to justify easing without appearing to accommodate inflation, potentially extending the higher-for-longer regime.

→ Markets that had priced in 2-3 cuts by year-end have begun to pare that positioning, which has direct negative convexity implications for long-duration assets.

02 Treasury yields drifted higher across the curve on the week, with the 2-year note closing at 3.92%, the 10-year at 4.41%, and the 30-year at 4.97% [DATA: as of 2026-05-07]. Relative to the May month-start levels, the 2-year rose 4 bps (from 3.88%), the 10-year rose 2 bps (from 4.39%), and the long bond was essentially unchanged versus its 4.97% month-open level. The 2s10s spread sits at approximately 49 bps and the 2s30s spread at approximately 105 bps, reflecting a curve that continues to steepen gradually as the front end reprices for fewer near-term cuts while the long end absorbs inflation and fiscal risk premia. Year-over-year, the 10-year is only 4 bps wider than a year ago (4.37%), suggesting the broader rate level adjustment of the past year has been modest.

→ The 20-year point at 4.96% [DATA: as of 2026-05-07] — essentially at parity with the 30-year — continues to reflect the well-documented concession in that maturity, creating a structurally flat 20s30s segment that can present relative value opportunities for liability-driven investors.

→ With the 5-year at 4.04% [DATA: as of 2026-05-07], the 5s30s spread of roughly 93 bps suggests the market is pricing modest term premium but not extreme bear steepening — a posture consistent with uncertainty rather than conviction.

03 Investment-grade corporate spreads tightened modestly on the month, with the IG OAS standing at 79 bps [DATA: as of 2026-05-07], representing a -2 bps MTD improvement. IG total returns on the month came in at +0.14% [DATA: as of 2026-05-07], a constructive if unspectacular result given the concurrent rise in underlying Treasury yields. Supply technicals in IG remain an active consideration — new issue concessions have been absorbed without visible indigestion, though the elevated rate environment continues to encourage issuers to pre-fund ahead of potential volatility. At 79 bps, IG spreads remain historically tight, offering limited buffer against a broader risk-off episode.

→ The tightening bias in IG spreads YTD reflects continued strong institutional demand and relatively disciplined issuance calendars, but spread cushion at current levels provides only modest excess return potential versus duration risk.

→ Investors should watch whether oil-driven inflation concerns begin to pressure financials and consumer-facing credits, which would most directly feel margin and cost-of-funding stress.

04 High-yield corporate spreads moved in the opposite direction from IG on the month, with HY OAS at 279 bps [DATA: as of 2026-05-07] and a +2 bps MTD widening — a modest but directionally notable divergence from the IG complex. HY total returns registered just +0.02% on the month [DATA: as of 2026-05-07], effectively flat and underperforming IG on a total return basis, consistent with the slight spread widening. Risk appetite in high yield appears to be moderating at the margin, likely reflecting sensitivity to the deteriorating rate-cut outlook and the potential for tighter financial conditions to stress lower-rated issuers with floating-rate liabilities. At 279 bps, HY spreads remain well inside historical recession-level wides but also well below the risk premium many would consider adequate for the current macro uncertainty.

→ The IG/HY spread ratio near current levels implies limited incremental compensation for moving down in quality, which supports a quality-biased credit posture within multi-sector strategies.

→ Commodity-sensitive HY credits — energy, materials, and chemicals — bear monitoring as oil price volatility creates both winners and losers within the index.

05 Agency MBS and broader securitized product data are not directly available in this week's payload, but the macro context — rising oil prices, higher nominal yields, and a receding rate-cut path — creates a challenging environment for prepayment-sensitive sectors. Higher rates reduce refinancing incentives, which extends MBS duration at the margin and places convexity pressure on portfolios that are not actively hedged. News context suggests MBS has continued to lag Treasuries on a duration-adjusted basis in weeks characterized by rate backup, and current coupon MBS spreads to Treasuries remain wide enough to attract value buyers, though vol-adjusted carry is a more nuanced calculation at current vol levels.

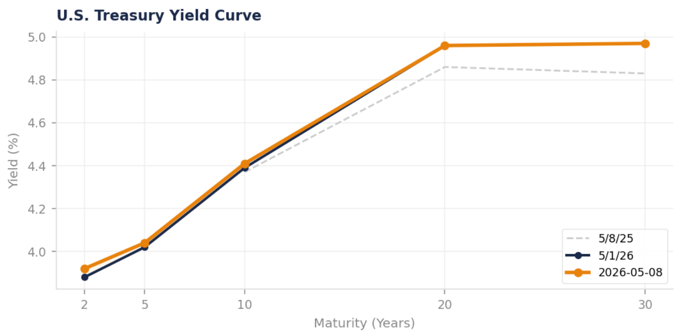
→ The lack of imminent Fed rate cuts removes a key prepayment catalyst, which is broadly supportive of current coupon MBS carry but limits the price appreciation potential that refinancing-driven premium bond paydowns would otherwise provide.

→ Investors should remain attentive to primary dealer positioning in agency MBS as Treasury supply dynamics can crowd out MBS demand at the margin during heavy auction weeks.

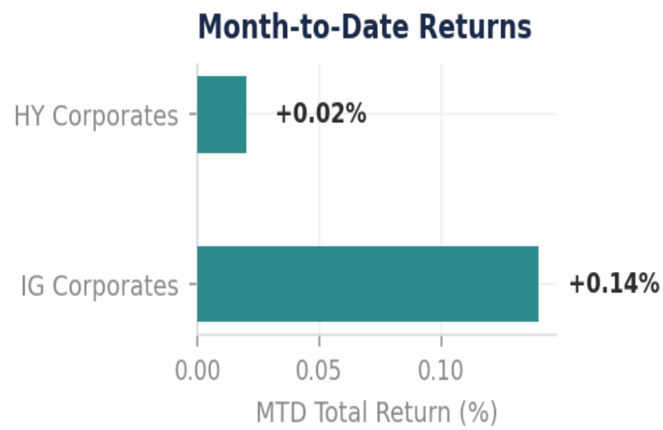
06 No Fed speakers were present in the data payload for this week, leaving market participants to interpret policy signals through the lens of incoming data rather than official communication. The absence of Fed commentary is itself notable — it forces the market to price risk more independently and can amplify moves driven by macro data surprises. The next scheduled policy meeting and accompanying statement will be particularly significant given the re-emergence of oil-driven inflation concerns, as the Fed will need to signal whether it views energy as a transitory relative price adjustment or a broader reflation impulse requiring a more vigilant stance. Until that communication occurs, the Fed funds futures market is likely to remain volatile around the timing and magnitude of any potential easing.

→ With no Fed speakers on the calendar, the bond market is effectively in a data-dependency vacuum — a posture that historically increases intraday volatility and makes risk management around CPI print dates especially critical.

MARKET DATA



	2yr	5yr	10yr	20yr	30yr
Yield (%)	3.92	4.04	4.41	4.96	4.97
MTD (bps)	+4	+2	+2	0	0



Sector	OAS (bps)	MTD Chg
IG Corporate	79	-2
HY Corporate	279	+2

DATA SOURCES

Series	Value	As Of	Source
2yr Treasury	3.92%	2026-05-07	FRED:DGS2
5yr Treasury	4.04%	2026-05-07	FRED:DGS5
10yr Treasury	4.41%	2026-05-07	FRED:DGS10
20yr Treasury	4.96%	2026-05-07	FRED:DGS20
30yr Treasury	4.97%	2026-05-07	FRED:DGS30
IG OAS	79.0 bps	2026-05-07	FRED:BAMLC0A0CM
HY OAS	279.0 bps	2026-05-07	FRED:BAMLH0A0HYM2
IG Corporates MTD Return	+0.14%	2026-05-07	FRED:BAMLCC0A0CMTRIV
HY Corporates MTD Return	+0.02%	2026-05-07	FRED:BAMLHYH0A0HYM2TRIV